

General Provisions

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1

Application and Definitions

1.1

Unless stated otherwise, this Part applies to every _firm_.

1.2

In this Part, the following definitions shall apply:

_____BFSA_

means the Agreement between the United Kingdom of Great Britain and Northern Ireland and the Swiss Confederation on Mutual Recognition in Financial Services concluded on 21st December 2023 at Berne, also known as the Berne Financial Services Agreement.

consumer

has the meaning given in the _FCA Handbook_ for the purposes of the _FCA?s_ rule in _GEN_ 4.4.1(1)(a)(i).

customer

has the meaning given in the _FCA Handbook_ for the purposes of the _FCA?s_ rules in _GEN_ 4.4.1R(1)(a)(ii) and _GEN_ 4.5.1R(1).

equivalent business of a third country investment firm

the business of a _third country investment firm_ carried on from an establishment in the _UK_ that would be _MiFID business_ if that _firm_ were a _MiFID investment firm_.

financial penalty

means a financial penalty that the _PRA_ has imposed, or may impose, under _FSMA_. It does not include a financial penalty imposed by any other body.

GEN

means the part of the _FCA Handbook_ in High Level Standards which has the title General Provisions.

habitual residence

1. (1) if the _policyholder_ is an individual, the address given by the _policyholder_ as his residence if it reasonably appears to be a residential address and there is no evidence to the contrary; or

2. (2) if the _policyholder_ is not an individual or a _group_ of individuals, the State in which the _policyholder_ has its

place of establishment, or, if it has more than one, its relevant place of establishment.

home finance transaction

has the meaning given in the _FCA Handbook_.

MiFID or equivalent third country business

MiFID business or the _equivalent business of a third country investment firm_.

non-investment insurance contract

has the meaning given in the _FCA Handbook_.

regulated market

has the meaning given in Article 4(1)(21) of _MiFID II_.

SRO firm with a top-up permission

means a _firm_ to which regulation 34 of the EEA Passport Rights (Amendment, etc., and Transitional Provisions) (EU Exit) Regulations 2018 applies.

SRO firm without a top-up permission

means a _firm_ to which regulation 28 of the EEA Passport Rights (Amendment, etc., and Transitional Provisions) (EU Exit) Regulations 2018 applies.

UK domestic firm

means a _firm_ that has its registered office (or, if it has no registered office, its head office) in the _UK_.

2

Emergency

2.1

This Chapter applies to every _person_ to whom a _PRA_ rule applies.

2.2

1. (1) If any emergency arises which:

1. (a) makes it impracticable for a _person_ to comply with a particular _PRA_ rule;
 2. (b) could not have been avoided by the _person_ taking all reasonable steps; and
 3. (c) is outside the control of the _person_ , its _associates_ and agents (and of its and their _employees_),
2. the _person_ will not be in contravention of that rule to the extent that, in consequence of the emergency, compliance with that rule is impracticable.

3. (2) (1) applies only for so long as:

1. (a) the consequences of the emergency continue; and
 2. (b) the _person_ can demonstrate that it is taking all practicable steps to deal with those consequences, to comply with the rule, and to mitigate losses and potential losses to its _clients_ (if any).
4. (3) The _person_ must notify the _PRA_ as soon as practicable of the emergency and of the steps the _person_ is taking and proposes to take to deal with the consequences of the emergency.

3

Disclosure to Retail Clients

3.1

This Chapter:

1. (1) subject to (2), applies to:

1. (a) every _firm_ and with respect to every _regulated activity_ ;
2. (b) activities carried on from an establishment maintained by the _firm_ (or by its _appointed representative_) in the _UK_ ;
3. (c) letters delivered by hand, sent by post and sent by fax and also electronic mail;
4. (d) letters sent by any of the _firm?s_ _employees_ , which includes its _appointed representatives_ and their _employees_ .

2. (2) does not apply to:

1. (a) [deleted.]
2. (b) [deleted.]
3. (c) [deleted.]
4. (d) _MiFID or equivalent third country business_ ;
5. (e) _general insurance business_ if:
 1. (i) [deleted.]
 2. (ii) the _State of the risk_ is outside the _UK_ and the _policyholder_ is not in the _UK_ when the _contract of insurance_ is entered into;
6. (f) _long-term insurance business_ if:
 1. (i) [deleted.]
 2. (ii) the _policyholder?s_ _habitual residence_ is outside the _UK_ and the _policyholder_ is not present in the _UK_ when the _contract of insurance_ is entered into; or
7. (g) text messages, account statements, business cards or compliment slips (used as such).

3.2

A _firm_ must take reasonable care to ensure that every letter (or electronic equivalent) which it or its _employees_ send to a _retail client_ , with a view to or in connection with the _firm_ carrying on a _regulated activity_ , includes the following disclosure:

1. (1) for a _UK domestic firm_ , "Authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority";
2. (2) for an _overseas firm_ (which is not a _SRO firm_), '[Authorised and regulated by [name of the overseas regulator of the _overseas firm_ in the jurisdiction of that _overseas firm?s_ registered office (or, if it has no registered office, its head office)]]'. Authorised by the Prudential Regulation Authority. Subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of our regulation by the Prudential Regulation Authority are available from us on request.'
 1. (a) If the _overseas firm_ translates the name of the overseas regulator into English it must ensure that the State in which the regulator is based is clear;
 2. (b) An _overseas firm_ is not required to disclose its applicable authorisation or regulation by the overseas regulator if it is not so authorised or regulated.
 3. (3) [deleted.]
 4. (4) [deleted.]

5. (4A) [deleted]

6. (4B) [deleted]

7. (4C) for an _overseas firm_ that is an _SRO firm without a top-up permission_ , ?Authorised and regulated by [name of the overseas regulator of the _overseas firm_ in the jurisdiction of that _overseas firm's_ registered office (or, if it has no registered office, its head office)]. Deemed authorised by the Prudential Regulation Authority. Subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details of the Financial Services Contracts Regime, which allows EEA-based firms to operate in the UK for a limited period to carry on activities which are necessary for the performance of pre-existing contracts, are available on the Financial Conduct Authority?s website.?

1. If the _firm_ translates the name of the overseas regulator into English it must ensure that the State in which the regulator is based is clear.

8. (4D) for an _overseas firm_ that is a _SRO firm with a top-up permission_ , ?Authorised and regulated by [name of the overseas regulator of the _overseas firm_ in the jurisdiction of that _overseas firm's_ registered office (or, if it has no registered office, its head office)]. Authorised by the Prudential Regulation Authority and with deemed variation of permission. Subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details of the Financial Services Contracts Regime, which allows EEA-based firms to operate in the UK for a limited period to carry on activities which are necessary for the performance of pre-existing contracts, are available on the Financial Conduct Authority?s website.?

1. If the _firm_ translates the name of the overseas regulator into English it must ensure that the State in which the regulator is based is clear.

9. (5) for an _appointed representative_ of a _firm_ , "[Name of _appointed representative_] is an appointed representative of [name of firm] which is [then continue with the required disclosure of the firm]".

1. If the _appointed representative_ has more than one principal, the disclosure must relate to the principal or principals responsible for the _regulated activity_ or _regulated activities_ concerned. The required disclosure of the _firm_ is that which would apply were the _firm_ to make the disclosure under the rules applicable to the _firm_.

10. (6) for the _Society_ , ?Authorised under the Financial Services and Markets Act 2000".

3.3

If a _firm_ offers to make details about the extent of its authorisation by the _PRA_ or regulation by the _FCA_ or _PRA_ available on request and a customer requests such details, it must provide those details in a way that is clear, fair and not misleading.

3.4

Any _person_ to which this Chapter applies is permitted to add words to the relevant required disclosure statement but only if the _person_ has taken reasonable steps to satisfy itself that the presentation of its statutory status will, as a consequence, be fair, clear and not misleading and be likely to be understood by the average member of the group to whom it is directed or by whom it is likely to be received.

4

Referring to Approval by the PRA

4.1

This Chapter applies to every _firm_ and with respect to the carrying on of both _regulated activities_ and activities that are not _regulated activities_.

4.2

1. (1) Unless required to do so under the _regulatory system_ , a _firm_ must ensure that neither it nor anyone acting on

its behalf claims in any way that any aspect of its affairs have the approval or endorsement of the _PRA_ or another competent authority.

2. (2) (1) does not apply to statements that explain, in a way that is fair, clear and not misleading, that:

1. (a) the _firm_ is an _authorised person_ ;
2. (b) the _firm_ has _permission_ to carry on a specific activity;
3. (c) the _firm?s_ _approved persons_ have been approved by the _PRA_ for the purposes of section 59 of _FSMA_ (Approval for particular arrangements); or
4. (d) the _firm_ has been given express written approval by the _PRA_ in respect of a specific aspect of the _firm?s_ affairs.

5

Statements About Authorisation and Regulation by the PRA

5.1

This Chapter:

1. (1) subject to (2), applies to:
 1. (a) every _firm_ and with respect to every _regulated activity_ ;
 2. (b) activities carried on from an establishment maintained by the _firm_ (or by its _appointed representative_) in the _UK_ , provided that, in the case of the _MiFID_ or equivalent third country business_ of the _firm_ , it only applies to business conducted within the territory of the _UK_ ;
 3. (c) communicating with a _customer_.
2. (2) does not apply to:
 1. (a) [deleted.]
 2. (b) [deleted.]
 3. (c) a _third country firm_ to the extent that the _firm_ is subject to equivalent rules;
 4. (d) _MiFID_ or equivalent third country business_ that is a transaction:
 1. (i) between an _MTF_ operator and a member of participant in relation to the use of the _MTF_ ;
 2. (ii) concluded under the rules governing an _MTF_ between members or participants of the _MTF_ , unless the member or participant is, acting on its _client?s_ behalf, executing the _client?s_ orders on an _MTF_ ; or
 3. (iii) concluded on a regulated market by members or participants of the _regulated market_ , unless the member or participant is, acting on its _client?s_ behalf, executing the _client?s_ orders on a _regulated market_ .

5.2

A _firm_ must not indicate or imply that it is authorised by the _PRA_ in respect of business for which it is not so authorised.

5.3

A _firm_ must not indicate or imply that it is regulated or otherwise supervised by the _PRA_ in respect of business for which it is not regulated by the _PRA_.

6

Disclosure to Retail Clients on Activities from Non-UK Establishments

6.1

This Chapter:

1. (1) subject to (2), applies to every _firm_ and with respect to every _regulated activity_ , in any communication:
 1. (a) made to:
 1. (i) (in relation to a _non-investment insurance contract_) a _consumer_ ;
 2. (ii) (in relation to a _home finance transaction_) a _customer_ ; or
 3. (iii) (in all other cases) a _retail client_ ; and
 2. (b) in connection with a _regulated activity_ carried on from an establishment of the _firm_ (or its _appointed representative_) that is not in the _UK_ ;
2. (2) does not apply to:
 1. (a) [deleted.]
 2. (b) [deleted.]
 3. (c) a _third country firm_ to the extent that the _firm_ is subject to equivalent rules;
 4. (d) _MiFID or equivalent third country business_.

6.2

If the _firm_ indicates that it is a _PRA-authorised person_ it must also, where relevant, and with equal prominence, indicate in writing that in some or all respects the _regulatory system_ applying will be different from that of the _UK_. The _firm_ may also indicate the protections and complaints or compensation arrangements available under another relevant system of regulation.

6.3

A _firm_ need not provide the information required by 6.2 if it has already provided it in writing to the _customer_ to whom the communication is made.

7

Insurance Against Financial Penalties

7.1

This Chapter applies to every _firm_.

7.2

No _firm_ may pay a _financial penalty_ imposed on a present or former _employee_ , _director_ or _partner_ of the _firm_ or of an _affiliated company_.

7.3

No _firm_ may enter into, arrange, claim on or make a payment under a _contract of insurance_ that is intended to have, or has or would have, the effect of indemnifying any _person_ against all or part of a _financial penalty_.

7.4

The _Society_ and _managing agents_ must not cause or permit any _member_ , in the conduct of that _member's_ _insurance business_ at the _Society_ , to enter into, arrange, claim on or make a payment under a _contract of insurance_ that is intended to have, or has or would have, the effect of indemnifying any _person_ against all or part of a _financial penalty_.

8

The Berne Financial Services Agreement

8.1

This Chapter applies to any person to whom a PRA rule applies.

8.2

A person is not subject to any PRA rule to the extent that rule would be contrary to the UK's obligations under the BFSA.